

TITLE: CONSUMER PROTECTION AND SOCIAL WELFARE IN BETTING

I. RESEARCH QUESTION

Whether the current betting regulations in Kenya are effective in balancing Consumer protection and Social Welfare?

Introduction

More often than not, the idea of huge financial returns drives bettors to be overly optimistic when interacting with betting/gambling platforms. Self control issues affecting the end user are a growing concern in the modern betting World.¹ This paper is premised on the impacts of betting on the users and seeks to answer the question of whether the current betting regulations in Kenya are effective in balancing Consumer protection and Social Welfare.

II. LEGAL NORM (MAJOR PREMISE)

The Constitution of Kenya, 2010 provides that Consumers have a right to goods and services of reasonable quality, protection of their health, safety and economic interests. They are also entitled to the information necessary for them to gain full benefit from goods and services and to compensation for loss or injury arising from defects in goods or services.² Consumer protection thus aims to promote and advance the social and economic welfare of Consumers in Kenya by safeguarding their rights, interests and well being through ensuring fair business practices, providing access to redress mechanisms and protection against harmful products and services.³

In *Consumers Federation of Kenya (COFEK) v Betting, Licensing and Control Board (BCLB)*⁴: It was held that consumer protection extends to control measures put in place to protect vulnerable individuals. One of the reasons why COFEK successfully petitioned the High Court against Opera Mini's 'Speed Dial' feature compelling BCLB to remove betting and gambling companies from advertising through it.⁵

Betting control is therefore a crucial aspect of responsible gambling. It includes measures put in place to ensure that individuals can engage in betting activities in a safe and controlled manner.⁶ The primary legislation governing betting in Kenya is the Betting, Lotteries, and Gaming Act which establishes **The Betting Control and Licensing Board (BCLB)** as the primary regulatory

¹ Mwangi, N, Kenyan Gambling Laws: What You Should Know; Nairobi Wire <<https://nairobiwire.com/2024/03/kenyan-gambling-laws-what-you-should-know.html>> accessed on 23 March, 2025

² Article 46, Constitution of Kenya, 2010

³ Section 3(4), Consumer Protection Act, Cap 501

⁴ Consumer Federation of Kenya v Betting Control and Licensing Board & 2 others; Cabinet Secretary Ministry of Information Communication and the Digital Economy & 4 others (Interested Parties) (Petition E307 of 2023) [2024] eKLR (2024)

⁵ Consumers Federation of Kenya, <<https://cofek.africa/226318-2/>> accessed on 23 March, 2025.

⁶ COFEK Africa, <<https://cofek.africa/why-bclb-is-getting-it-all-wrong-on-consumer-protection-forcing-use-of-m-pesa/>> accessed on 23 March, 2025

body responsible for all betting activities and companies in Kenya. In addition to the Act, there are subsidiary regulations in place i.e The Betting, Lotteries and Gaming Regulations of 1966 to cater for the same. Despite the legal framework in place, various threats still endanger Consumer protection especially when it comes to Betting. Serious concerns affect consumers thus jeopardizing their Social Welfare.

III. MINOR PREMISE

In 2024, Kenyans spent an estimated 766.5B on gambling, an average of 2B daily or Ksh 24,305 per second according to KRA. In perspective, that's nearly double Kenya's health budget. Cases of depression and broken families all linked to gambling addiction are on the rise. Recently, a Chuka boda boda rider died to suicide after losing Ksh 98,000 to Aviator. A recent exposee by NTV Kenya dubbed "Addiction to Gambling; an alarming crisis quietly gripping many Informal settlements in Nairobi" revealed that hundreds of slum dwellers count on betting to make a living. Betting shops are everywhere, at every corner, with many people seeing it as a shot in better life with some even sleeping in the shops waiting for the outcome. Wycliffe Olunyi sadly narrated his story of lost hope after losing his family due to his gambling addiction in the interview.⁷

A recent survey conducted by Consumers Federation of Kenya(COFEK), a non profit federation committed on consumer protection, education and research on consumerism and customer care issues, noted that majority of the young population especially in marginalized areas have been victims to this. The number of school dropouts keeps on increasing with most minors relying on the hope that betting is their only key to a better future.⁸ It was noted that this population is willing to stake every penny they have on sports betting through online gambling platforms with most of them having little or no knowledge at all about their rights. Many resort to borrowing money sinking into debt and struggling to meet daily needs.

For many Kenyans especially in a country where Youth unemployment stands at a staggering 67% betting feels like a lifeline. Operators use complex algorithms designed to tilt odds in their favour. Bonuses and free bets create the illusion of free money but often lead to higher spending over time. Psychologists say that there is a release of Dopamine everytime one places a bet, a pleasure hormone that will get anyone hooked as the ones winning. Leading to a Gambling disorder having more challenges with their Self control due to Impulsivity.

⁷ Addiction to Gambling; an alarming crisis that has quietly gripped many Nairobi informal settlements<<https://www.youtube.com/watch?v=oxkzFey244o>> accessed on 30 March,2025.

⁸ Consumers Federation of Kenya,<<https://cofek.africa/why-bclb-is-getting-it-all-wrong-on-consumer-protection-forcing-use-of-m-pesa/>> accessed on 23 March,2025

IV. APPLICATION

The current legal framework provides for betting regulations. However gaps in relation to Consumer protection still exist. Before one places a bet, they need to ask themselves if they can afford to loose. Just like any other addiction, Gambling is real and if no appropriate Consumer measures are put in place, it leads to various social harms among them addiction and as a coping mechanism, one will need to gamble daily.

In the case of the Chuka boda boda rider, betting led to his suicide after loosing a lot of money to it. New legislations providing for Consumer control measures should be in force i.e the limit on the amount one can place a bet on. The objective of the Consumer protection act is to promote and advance the social and economic welfare of Consumers in Kenya by safeguarding their rights, interests and well being through ensuring fair business practices and protection against harmful products and services.⁹The Constitution is also in place to provide a system of checks and balances and to ultimately promote a just and stable society

Anyone with a phone and an account can place a bet instantly on both local and international games in Kenya. Many school droupouts have been reported especially in areas like West Pokot, Kilifi among others as young people believe betting gives them a better and easier chance to financial freedom than education. Therefore, more regulations should come in force to ensure various checks filter the underage from participating and that bettors are evaluated first before being allowed to have an account.

The regulation of gambling intersects with various fundamental human rights. Data is regarded as the new “gold” in the world, it’s usage and “mining” has far reaching implications and consequences to the consumers. Therefore, consumer protection is of cardinal importance.¹⁰ Every person has a right to privacy extending to not have information relating to their family or private affairs unnecessarily required or revealed and privacy of their communication infringed.¹¹ Consumer data protection in the realm of betting, lotteries and gaming has been a virgin concept all along, however, recent developments in law have ensured that there is the need to protect consumers in todays world of digitization.¹² The Data Protection Act,2019 accompanied by regulations and guidelines establishes procedures for data collection and processing. Every data subject has a right¹³:

- a) to be informed of the use to which their personal data is to be put

⁹ Section 3(4), Consumer Protection Act, Cap 501

¹⁰ Data protection in Kenya: Consumer Protection <<https://bowmanslaw.com/insights/kenya-data-protection-in-kenya-consumer-protection/>> accessed on 23 March,2025.

¹¹ Article 31(c) & (d), Constitution of Kenya, 2010.

¹² Ali Gofa, Navigating the Legal landscape of Betting in Kenya: A comprehensive analysis of regulations and Compliance,2024.

¹³ Section 26,Data Protection Act,2019.

- b) to access their personal data in custody of data controller or data processor
- c) to object to the processing of all or part of their personal data
- d) to correction of false or misleading data
- e) to deletion of false or misleading data about them.

Advertising plays a major role in fueling the betting culture in Kenya through TV ads, social media influencers and football sponsorships which all make betting look glamorous. The term “advertisement” covers the dissemination of information through methods such as printing, publication, broadcasting, telecommunications and distribution, all intended to promote the use of an internet gaming site.¹⁴ More appeal to the public is advanced through this therefore false representation should be discouraged and strict penalties put in place.

In *Republic v Betting Control and Licensing Board & another*¹⁵, BCLB banned outdoor advertisement of gambling stating that it must approve any form of advertisement of gambling; and, that, such an advertisement must contain a warning message about the consequence of gambling, and, its addictiveness, which must constitute a third of the actual advertisement and be of the same font. The Court upheld it meaning enforcement when it comes to this must be strictly adhered to. More restrictions on gaming sites forbidding their advertisement without adhering to the present laws provided for in the Consumer Protection Act should be observed to the latter.

V. CONCLUSION

Online gambling addiction is a real concern affecting consumers thus jeopardizing their Social Welfare. It is a growing area that has not been expressly provided for in matters Consumer protection. Without proper control, it can have devastating consequences on individuals and their families.¹⁶ It is therefore very crucial for various laws to be made and amended to safeguard it on such platforms.

VI. OUTLOOK

The main consequence of this research is to guide in the better protection of Consumer rights and the execution of online betting regulations in achieving this.

¹⁴ Section 11, Consumer Protection Act.

¹⁵ [2019]eKLR

¹⁶ COFEK, <<https://cofek.africa/why-bclb-is-getting-it-all-wrong-on-consumer-protection-forcing-use-of-m-pesa/>> accessed on 23 March, 2025

Recommendations

1. Kenya needs to strike a balance between Consumer protection and Social Welfare in Betting by borrowing a thing or two from Jurisdictions that have significant growth in such areas.
2. The current frameworks needs to be amended to provide for areas with gaps in Consumer protection so as to uphold Social Welfare of the end users.
3. Strict measures should be levelled on operators who use false representation as a way of advancing their interests and penalties imposed on them.
4. Users should ensure their private data and anonymity in these sites is guaranteed. They can do this by: Reading the online betting terms, Private information like account details should not be shared to avoid instances where your information is used in illegalities. Know what types of personal data online gambling sites store and share.
5. There should be a limit on the amount one can use on betting to avoid issues that will lead to financial distress, suicidal thoughts after a loss.